

TENTATIVE RULINGS 6-3-26
Department R17- Judge Gilbert G. Ochoa

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ELMER MAGNAYE CONTRERAS

v.

AMERICAN HONDA MOTOR CO., INC.

Motion: **Compel Further re (1) Special Interrogatories and (2) Requests for Production of Documents**

Movant: (1)-(2) Defendant American Honda Motor Co., Inc.

Respondent: (1)-(2) Plaintiff Elmer Magnaye Contreras

DISCUSSIONS

Statement of the Law

A party who deems responses to propounded interrogatories (form or special) as evasive or incomplete, an objection is without merit or too general, or the exercise of the option to produce documents is unwarranted or the required specification of those documents is inadequate can move to compel further responses. (Code Civ. Proc., §2030.300, subd. (a).) Similarly, a party who deems a statement of compliance with a document demand as incomplete, or the representation of inability to comply as inadequate, incomplete, or evasion, or an objection to a document demand as without merit or too general can move to compel further responses. (Code Civ. Proc., §2031.310, subd. (a).) The moving party seeking to compel further document production must establish good cause justifying the discovery sought by the demand. (Code Civ. Proc., §2031.310, subd. (b)(1).)

The motion to compel must be noticed within 45 days of receipt of the responses (plus the additional time if not personally served). (Code Civ. Proc., §§2030.300, subd. (c), 2031.310, subd. (c).) The motion must be accompanied by a declaration stating facts showing a reasonable and good faith attempt to resolve informally the issues presented by the motion before filing the motion. (Code Civ. Proc., §§2030.300, subd. (b), 2031.310, subd. (b)(2), 2016.040.) The required meet and confer must be done in person, by phone, or by teleconference. (Code Civ. Proc., §2016.040, subd. (a).)

The Court shall impose monetary sanctions against any party, person, or attorney who unsuccessfully makes or opposes a compel further motion unless the court finds that the sanctionable party acted with substantial justification or other circumstances make the imposition of the sanction unjust. (Code Civ. Proc., §§2030.300, subd. (d), 2031.310, subd. (h).)

Analysis

Procedurally, the parties met and conferred, albeit before the motion was filed by letters and emails that included requests to discuss the matter but with no response from Plaintiff. After the motions were filed, Counsel telephonically met and conferred. (Burk Decl. at ¶¶5, 7, 9, 12, Exhs. A-B; Burk Reply Decl. at ¶2.)

Defendant Honda does not dispute that substantive responses were provided to the at-issue Special Interrogatories #1, 3-4, 6-10, 12-20, 23-28, & 32-34, and RFPs #1-13 & 15-26. It argues that the objections also asserted are boilerplate and lack merit, and Plaintiff offers no justification for the objections. It argues that due to the objections, it cannot discern if responsive answers or materials are being withheld.

However, Honda does not explain how it is prejudiced by objections existing when substantive responsive were given. It offers nothing to indicate that the responses given or documents produced are not complete and straightforward. If Plaintiff is withholding information or documents that are responsive, a remedy lies if he seeks to later rely on that evidence in a motion (e.g., Opposition to MSJ) or at the trial. Honda only speculates that the responses must not be complete because objections were asserted.

Justification does not exist to order Plaintiff to provide responses removing all objections. Therefore, the Court denies Defendant Honda's Motions to Compel Further.

Sanctions. Under each Motion, Honda sought \$1,000 in sanctions. As it is not prevailing, it is not entitled to sanctions.

Ruling

(1) DENY Defendant Honda's Motion to Compel Further Responses (i.e., responses without objections) to Special Interrogatories #1, 3-4, 6-10, 12-20, 23-28, & 32-34, and request for sanctions; and

(2) DENY Defendant Honda's Motion to Compel Further Responses (i.e., responses without objections) to RFPs #1-13 & 15-26, and request for sanctions.

Movant to give notice.

Dated-

Judge

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MONICA LUCERO

v.

JAMES PHILLIP, et al.

Motion: **Tax Cost**

Movant: Defendant Phillip James and Rosemary Almanza

Respondent: Plaintiff Monica Lucero

DISCUSSIONS

Except as otherwise stated, a prevailing party¹ is entitled, as a matter of right, to recover costs in any action or proceeding. (Code Civ. Proc., §1032, subd. (b).) The costs allowed shall be reasonably necessary to the conduct of the litigation and reasonable in amount. (Code Civ. Proc., §1033.5, subd. (c)(2)-(3).) The filing of a verified Cost Memorandum is sufficient to

¹ “Prevailing party,” for purposes of recovery of costs, is defined as “[T]he party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. When any party recovers other than monetary relief and in situations other than as specified, the “prevailing party” shall be as determined by the court, and under those circumstances, the court, in its discretion, may allow costs or not and, if allowed may apportion costs between the parties on the same or adverse sides pursuant to rules adopted under Section 1034.” (Code of Civ. Proc., §1032, subd. (4).)

establish that the sought costs are reasonable and necessary, thereby the prevailing party need not submit any bills, invoices, statements, or other documents. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267.) If the items on the memorandum of costs appear to be proper charges, then the party seeking to tax those costs bears the burden that the costs are unreasonable or unnecessary, but if the items are properly objected to, then the burden of proof lies with the party seeking to recover the costs to show their necessity and reasonableness. (*Ladas v. California State Auto. Assn.* (1993) 19 Cal.App.4th 761, 774; *Perko's Enterprises, Inc. v. RRNS Enterprises* (1992) 4 Cal.App.4th 283, 243.)

In seeking to tax Plaintiff's costs, Defendants make two general arguments following by additional particular challenges to certain cost items.

Post-Offer Costs. Code of Civil Procedure section 998, subdivision (c)(1), provides that if a defendant makes an offer, which the plaintiff does not accept, and the plaintiff fails to recover a more favorable judgment, then the plaintiff shall not recover his post-offer costs and shall pay the defendant's costs from the time of the offer.

Defendants, in general, argue Plaintiff is not entitled to any post-offer costs because on July 21, 2021, they served a 998 offer to settle for \$30,000 ["Defendants' 998 Offer"]. (Reisinger Decl. at ¶8, Exh. D.) The judgment was for \$25,900. (Reisinger Decl. at ¶¶9, 13, Exh. E; Scott Decl. at ¶5, Exh. 4.)

On the face, the judgment was less than the offer made. However, any pre-judgment, pre-offer interest accrued under Civil Code section 3287² can be added to the judgment to determine if the judgment is greater than the 998 offer. (*Bodell Const. Co. v. Trustees of California State University* (1998) 62 Cal.App.4th 1508, 1526.) Here, in relation to Plaintiff's Motion to Tax Defendants' post-998 offer costs, the Court found:

The Court agrees with Plaintiff that the value of the subject vehicle could have reasonably been calculated by the Defendants from information reasonably available to them. Specifically, sources such as Kelly Blue Book or a similar car valuation guide. Based on the foregoing, the court will add \$4,213.65 in prejudgment [pre-offer] interest to the \$25,900 for a total net monetary judgment of \$30,113.65 before costs. As Plaintiff's net judgment at the time of Defendants' section 998 offer was more favorable than the \$30,000.00 offer to compromise, the court finds there is no section 998 penalty to be assessed against the Plaintiff.... (See Ruling for Jan. 14, 2026.)

Defendants offer nothing to justify altering that analysis. Therefore, the judgment is not less than Defendants' 998 Offer, so Plaintiff is entitled to recover her post-offer costs.

With that finding, as the sole challenge is predicated upon Plaintiff cannot recover post-offer costs, Defendants request to tax \$145 under item 1 (filing fees), \$2,107.60 under item 2 (jury fees), and \$326.85 under item 13 (models/enlargements/photocopies) is ***denied***.

Lack Substantiation. Defendants argue that \$1,062.06 under item 5 (service of process) and \$278.23 under item 14 (electronic filing/service fee) should be taxed entirely because Plaintiff fails to substantiate those costs. However, the filing of a verified Cost Memorandum is sufficient to establish that the sought costs are reasonable and necessary, thereby the prevailing party need not submit any bills, invoices, statements, or other documents. (*Jones v. Dumrichob*

² Civil Code section 3287, subdivision (a), provides, "A person who is entitled to recover damages certain, or capable of being made certain by calculation, and the right to recover which is vested in the person under a particular day, is entitled also to recover interest thereon from that day...."

(1998) 63 Cal.App.4th 1258, 1267.) Furthermore, Plaintiff submitted the Cost Memorandum worksheet that adequately listed the persons served, costs for service, and service concerns. She also submitted a spreadsheet that details the cost items, which would include the e-service filing fees. Enough is presented. Defendants offer no argument for why any of these fees were not reasonable or necessary. Therefore, **deny** taxing item 5 and 14 costs.

Item #4/Deposition Costs. Defendants seek to tax the \$7,369.95 costs sought for depositions. Initially, it argues that Plaintiff cannot recover any post-offer deposition costs; however, as analyzed above, the Court has concluded the judgment in Plaintiff's favor exceeded Defendants' 998 Offer.

Next, Defendants argues that the costs for editing videotape depositions for presentation to the jury is not a recoverable cost item because not reasonably necessary for the conduct of the litigation. (*El Dorado Meat Co. v. Yosemite Meat & Locker Service, Inc.* (2007) 150 Cal.App.4th 612, 620.) Additionally, expedited fees for a deposition transcript are recoverable if a justifiable or satisfactory reason is given. (*Chaaban v. Wet Seal, Inc.* (2012) 203 Cal.App.4th 49, 55.) Although Defendants raise these valid legal standards, they do not reference any fee within item 4 related to such type of charges. Now, a review of the Cost Memorandum and attachments, an invoice (#145275) and check (#0509) for \$170 to LitiCourt was located that was identified to pay for the syncing of Alexander's deposition. However, there is no evidence that this fee is included in item 4 or any other cost item within the Cost Memorandum. It is not even listed in the spreadsheet attached to the Cost Memorandum. By all evidence, it is a cost item Plaintiff's Counsel paid but it is not a cost item sought recovered under the Cost Memorandum. Therefore, **deny** taxing any of the incurred deposition costs.

Item #8b/Expert Fees. Defendants seeks to tax the entire requested \$101,650 in paid expert witness fees. They first argue that such are not recoverable because their 998 Offer exceeded the Judgment. However, as analyzed above, that argument fails. They next argue that it is not recoverable because Plaintiff's 998 Offers to them was less than the Judgment associated with her bodily injury.

Generally, expert fees are not recoverable unless ordered by the Court. (Code Civ. Proc., §1033.5, subd. (a)(8).) Nevertheless, if a plaintiff makes a 998 settlement offer, which is not accepted, and the defendant fails to obtain a more favorable judgment, then the court in its discretion may require the defendant to pay a reasonable sum to cover post-offer costs of the service of expert witnesses, which were actually incurred and reasonably necessary for preparation of trial or during trial. (Code Civ. Proc., §998, subd. (d).)

Here, on January 16, 2020, Plaintiff Lucero made a 998 offer to Defendant James to settle for \$15,000 associated with her "bodily injury claims and does not include plaintiff's property damage claims." On April 30, 2020, she made the same 998 offer to Defendant Almanza. (Exhs. B-C to Reisinger Decl.; Exhs. 2-3 to Scott's Decl.) ["Plaintiff's 998 Offers."] Again, the Judgment was for \$25,900, which by first glance appears more favorable than Plaintiff's 998 Offers. However, the total is divided between an award of \$20,000 for past personal property loss and \$5,900 for past medical expenses. Yet Plaintiff only sought to settle her bodily injury claim. The "bodily injury" recovery is less than Plaintiff's 998 Offers. Plaintiff offers no authority that in determining if her judgment is greater than her 998 Offer that the court can consider the entire awarded judgment when includes a damage specifically excluded from the 998 settlement offer. In comparing apples-to-apples, the 998 Offer is less than the bodily injury Judgment.

Nevertheless, in determining if a plaintiff 998 offer exceeds the judgment obtained, the plaintiff's ordinary costs, pre and post, are added to the judgment to determine if the 998 offer was more favorable. (*Hoch v. Allied-Signal, Inc.* (1994) 24 Cal.App.4th 48, 68-69; *Stallman v. Bell* (1991) 235 Cal.App.3d 740, 748-49.) If remove the expert witness fees (\$101,650), the Civil Code section 3281 interest (\$3,387.97), and the Civil Code section 3287 interest (\$12,664.28) from the total costs sought, Plaintiff's ordinary costs total \$12,508.13. If add that amount to the \$5,900 bodily injury, her recovery is \$18,408.13, which is greater than her 998 Offers. Thus, in the court's discretion, she can recover post-offer expert witness costs. (Code Civ. Proc., §998, subd. (d).)

As no additional arguments are offered for why the Court should not allow the expert witness costs, **deny** taxing item 8b.

Item 11/Court Reporter Fees. Defendants request the taxing of the entire court reporter fees of \$630.50. They first challenge is under the now-rejected argument that post-offer cost are precluded due to Defendants' 998 Offer. The second challenge is because the parties agreed to share the reporter fees and did not agree to apportion them.

In *Anthony v. Li* (2020) 47 Cal.App.5th 816, 824, the Court of Appeal held if the parties agree to share costs during litigation, then that agreement will be enforced as written, and if the parties wanted to allow the recovery apportioned costs, then it must be specified in the agreement.

Attorney Reisinger attests that the parties had no provision for recovery of court reporter fees by the prevailing party. (Reisinger Decl. at ¶19.) Plaintiff argues that the parties had no agreement to share costs on court reporter fees.

Here, the Court is presented with a dispute on even if an agreement exists. Furthermore, under *Anthony*, the implication is the agreement would need to be in writing. No written agreement to share court reporter costs is presented for the Court to find the holding of *Anthony* would apply here. Therefore, **deny** taxing item 11.

Item 16/Other-Interest. In the Cost Memorandum, Plaintiff seeks to recover two types of pre-judgment interest: (1) Civil Code section 3291³ interest on the \$5,900 portion of the Judgment, which totals \$3,387.97; and (2) Civil Code section 3287, subdivision (a), interest on the \$20,000 portion of the Judgment, which totals \$12,664.28.

The finding herein and under the Tax Cost Motion to Defendants' Cost Memorandum supports the recovery of prejudgment interest associated with the property loss under Civil Code section 3287.

Defendants challenge the Civil Code section 3291 interest because Plaintiff Lucero did not obtain a more favorable judgment than her 998 Offers. However, as analyzed above, when include Plaintiff's ordinary costs (i.e., exclude expert witness fees and all interest) her recovery is greater than her 998 Offer. Alternatively, if compare the total Judgment (not just the bodily injury portion) with Plaintiff's 998 Offers, the Judgment of \$25,900 is greater than the \$15,000 998 Offers.⁴ Thus, interest under Civil Code section 3291 is permissible.

³ Civil Code section 3291 allows the recovery of interest, at 10% per annum, in personal injury actions when a plaintiff's 998 offer is not accepted by the defendant and the plaintiff obtains a more favorable judgment.

⁴ For Civil Code section 3291, the comparison involves looking at the total awarded damages, even if the included damages is matter not subject to section 3281 interest. (*Steinfeld v. Foote-Goldman Proctologic Medical Group, supra*, 60 Cal.App.4th at p. 18.) That would mean, the damages awarded for

Therefore, *deny* taxing any sought interest outlined in item 16/other.

Based on the foregoing, no item of cost is taxed. Therefore, Plaintiff Lucero is entitled to her sought costs totaling \$130,210.38.

Ruling

DENY Defendants James and Almanza's Motion to Tax Plaintiff's costs totaling \$130,210.38.

Movant to give notice.

Dated-

Judge

loss of personal property and medical expenses are considered together to see if the awarded damages are greater than the 998 Offer, even though the 998 Offer was limited to bodily injury.

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ERICKA PEREZ BERUMAN
v.
VOLKSWAGEN GROUP OF AMERICA, INC., ET AL.

Motion(s): **Motion for Summary Judgment or, in the Alternative, Summary Adjudication**

Movant(s): **Defendants** **Volkswagen Group of America, Inc. and Martin Motors of San Bernardino, Inc. dba Volkswagen of San Bernardino**

Respondent(s): **Plaintiff** **Ericka Perez Beruman**

DISCUSSION

Statement of the Law:

A summary judgment motion cuts through the parties' pleadings to determine if a trial on the facts is necessary. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar.*))

Only the pleadings establish the grounds for granting or denying summary judgment. (*Tsemetzin v. Coast Federal Savings & Loan Assn.* (1997) 57 Cal.App.4th 1334, 1343.)

When the defendant is the moving party, the analysis requires (1) identifying the issues framed by the pleadings, (2) determining whether the moving party's showing has established facts that negate the opponent's claim and justify a judgment in the movant's favor, and (3) determining whether the opposition demonstrates the existence of a triable, material factual issue. (*Bostrom v. County of San Bernardino* (1995) 35 Cal.App.4th 1654, 1662.) A defendant must establish no material facts⁵ are in dispute by showing "'one or more elements of' the 'cause of action' in question 'cannot be established,' or that there is a complete defense' thereto." (*Aguilar, supra*, 25 Cal.4th at p. 850.) Once that burden is met, the plaintiff must produce admissible evidence showing a triable issue of material facts exists. (Code Civ. Proc., § 437c, subd. (p)(2); *Aguilar, supra*, 25 Cal.4th at pp. 849-51.)

The motion must be supported by declarations, discovery responses, depositions, and matters judicially noticed. (Code Civ. Proc., §437c, subd. (b).) The Court must consider reasonable inferences drawn from the presented evidence. (*Hypertouch, Inc. v. ValueClick, Inc.* (2011) 192 Cal.App.4th 805, 818.) The opposing party's evidence is construed liberally, and the moving party's evidence is construed strictly. (*Sprecher v. Adamson Companies* (1981) 30 Cal.3d 358, 373.)

Relevant Facts:

On September 16, 2023, Plaintiff purchased a used, non-certified pre-owned 2022 Volkswagen Tiguan (the Subject Vehicle) from STG Auto Group, a third-party retailer that is not

⁵ Material facts are "facts that relate to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject to the motion and that could make a difference in the disposition of the motion." (Rules of Court, Rule 3.1350(a)(2).)

an authorized VW dealership and has no affiliation with VW. (UF # 1 - Undisputed.) VW did not issue or extend any warranties on the Subject Vehicle as part of its sale to Plaintiff. (UF # 2 - undisputed.)

Despite multiple repair attempts, the Subject Vehicle continued to exhibit the same or related nonconformities. (AF # 1.) Defendant was provided a reasonable number of opportunities to repair the Subject Vehicle, but failed to bring the vehicle into conformity with its warranties. (AF # 2.) As a result of Defendant's failure to repair the Subject Vehicle, Plaintiff suffered damages. (AF # 3.)

On or about October 8, 2024,⁶ Plaintiff commenced this action against VW and Martin Motors, alleging non-conformities with the Subject Vehicle that was not a dealer demonstrator. Plaintiff also asserted a cause of action for negligent repair against Martin Motors and a cause of action under California's Unfair Competition Law against Defendants. (UF Nos. 3 and 5. - Undisputed.) No Authorized VW retailer sold the Subject Vehicle to Plaintiff with either a VW new car warranty or a CPO warranty. (UF # 4 - Undisputed.)

There is absolutely no evidence of any alleged non-conformity of the Subject Vehicle having caused any personal injury or property damage. (UF # 6 - Undisputed.)

Analysis:

Plaintiff's First and Second Causes of Action for Violation of the Song-Beverly Act:

Summary judgment is appropriate as to Plaintiff's causes of action for violation of the Song-Beverly Act, because the Subject Vehicle is not a "new motor vehicle" under the Act, which provides special consumer remedies to purchasers of new consumer goods including "new motor vehicles" sold with express warranties. (*Robertson v. Fleetwood Travel Trailers of*

⁶ Defendants' undisputed facts indicate that the Complaint was filed on October 14, 2024. This is a typo as the complaint was filed on October 8, 2024.

California, Inc. (2006) 144 Cal.App.4th 785, 798 (*Robertson*); (*Rodriguez v. FCA US, LLC* (2024) 77 Cal.App.5th 209 (*Rodriguez*) [holding that the Song-Beverly Act does not apply to used cars.].) The remedy at issue here, commonly called the “refund-or-replace” provision or “buy-back” provision, is set forth in Civil Code section 1793.2, subdivision (d)(2), which is one of the Act’s provisions specifically applicable to motor vehicles and provides:

If the manufacturer or its representative in this state is unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either promptly replace the new motor vehicle in accordance with subparagraph (A) or promptly make restitution to the buyer in accordance with subparagraph (B). (Civ. Code § 1793.2, subd. (d)(2).)

The Act defines “new motor vehicle” as: A new motor vehicle that is bought or used primarily for personal, family, or household purposes. New motor vehicle also means a new motor vehicle with a gross vehicle weight under 10,000 pounds that is bought or used primarily for business purposes by a person or any other legal entity, to which not more than five motor vehicles are registered in this state. New motor vehicle includes the chassis, chassis cab, and that portion of a motor home devoted to its propulsion, and a dealer-owned vehicle and a demonstrator or other motor vehicle sold with a manufacturer’s new car warranty. A demonstrator is a vehicle assigned by a dealer for the purpose of demonstrating qualities and characteristics common to vehicles of the same or similar model and type. (Civ. Code, § 1793.22, subd. (e)(2).)

The Act also provides for implied warranties of merchantability and fitness for consumer goods, i.e., new products, including motor vehicles. (Civ. Code, §§ 1791.1 subd. (c) and 1792.) These implied warranties may not last less than 60 days or more than one year after the sale of

the consumer goods to which they apply, and liability for their breach lies with the manufacturer. (Civ. Code, §§ 1791.1, subd. (c) and 1792.)

The Act does have protections for used goods; however, those protections are limited and bind the seller or distributor of the used product. (Civ. Code, § 1795.5.) The evidence presented show and Plaintiff does not disagree, VW was neither the seller nor distributor of the used vehicle in this case. Civil Code section 1795.5 provides express warranty protections for used goods only where the seller or distributor of the used product issues an express warranty at the time of sale. The provision states: Notwithstanding the provisions of subdivision (a) of Section 1791 defining consumer goods to mean new goods, the obligations of a distributor or retail seller of used consumer good in a sale in which an express warranty is given shall be the same as that imposed on manufacturers under this chapter. (Civ. Code, § 1795.5.) It shall be the obligation of the distributor or retail seller making express warranties with respect to such goods when new to maintain sufficient service and repair facilities within this state to carry out the terms of such express warranties. (Civ. Code, § 1795.5, subd. (a).)

Further, the Act also provides implied warranties for used products. These are shorter than the implied warranties for new products; their maximum duration is three months. (Civ. Code, § 1795.5, subd. (a).) As with liability for breach of express warranties, in the sale of used consumer goods, liability for breach of implied warranty lies with distributors and retailers, not the manufacturer, unless the manufacturer issues a new warranty along with the sale of the used good. (*Ruiz Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 398 (*Nunez*); *Kiluk v. Mercedes-Benz USC, LLC* (2019) 43 Cal.App.5th 339, 340 (*Kiluk*) [finding that “The Song-Beverly Act provides similar remedies in the context of the sale of used goods, except that the manufacturer is generally off the hook.”].)

The statutory framework makes one principle clear: the Act's consumer remedies apply against the party that sold the product and issued the operative warranty.

Here, it is undisputed that neither VW nor one of its authorized dealerships sold the Subject Vehicle to Plaintiff. (UF Nos. 1 and 4.) It is further undisputed that VW did not issue or extend any warranty in connection with Plaintiff's purchase of the used vehicle. (UF # 2.) VW was not involved in the transaction at all. (UF Nos. 1 and 4.) Because the Subject Vehicle was purchased used from a non-authorized third-party retailer, and because VW did not issue an express warranty in connection with that sale, the refund-or-replace provisions of Civil Code section 1793.2, subdivision (d)(2) do not apply as a matter of law.

Plaintiff attempts to argue that she bought the Subject Vehicle with residual warranty rights. However, the mere existence of residual warranty rights does not transform the used car sale into a new car sale. The *Rodriguez* Supreme Court expressly held that the Song-Beverly Act's buy-back or restitution rights are not available to purchasers of used motor vehicles with some balance remaining on the manufacturer's express warranty. (*Rodriguez, supra*, 77 Cal.App.5th at pp. 220-223.)

In *Rodriguez*, the plaintiffs argued that the phrase "other motor vehicle sold with a manufacturer's new car warranty" described their used vehicle because it still had a balance remaining on an express warranty from the manufacturer when the dealer sold the vehicle to plaintiffs. (*Rodriguez, supra*, 77 Cal.App.5th at p. 220.) The *Rodriguez* court found the plaintiffs' interpretation of the phrase incorrect, concluding that plaintiffs' interpretation of the phrase was at odds with the rest of the Act's definition of "new motor vehicles." (*Id.* at pp. 220-223.) "While we acknowledge that in isolation the phrase "other motor vehicle sold with a manufacturer's new

car warranty” could arguably refer to any car sold with a manufacturer’s warranty still in force, we agree with FCA that context clearly requires a narrower interpretation.” (*Id.* at pp. 219-220.)

“To begin with, the phrase appears in a definition of new motor vehicles. That fact alone strongly suggests the Legislature did not intend the phrase to refer to used (i.e., previously sold) vehicles. But, more importantly, the phrase is preceded by ‘a dealer-owned vehicle and demonstrator,’ which comprise a specific and narrow class of vehicles.... [D]emonstrators and dealer-owned vehicles comprise a narrow category of basically new vehicles - they have never been previously sold to a consumer and they come with full express warranties. Given this context, we think the most natural interpretation of the phrase ‘other motor vehicle sold with a manufacturer’s new car warranty’ is that it, too refers to vehicles that have never been previously sold to a consumer and come with full express warranties.”

(*Id.* at p. 220)

The *Rodriguez* court provided further context for and explanation of its holding: “As we’ve seen, the Act makes it clear when a provision applies to used or previously owned products by including the term ‘used’ in the provision. Notably, that term is absent from the definition of ‘new motor vehicle’ as well from the manufacturer’s refund or replace provision.’ Further, the Song-Beverly Act defines ‘express warranty’ as any ‘written statement arising out of a sale to the consumer of a consumer good pursuant to which the manufacturer ... undertakes to preserve or maintain the utility or performance of the consumer good Cal. Civ. Code, § 1791.2, subd. (a)(1).” (*Id.* at p. 222.) The *Rodriguez* court found that the powertrain warranty applicable to the plaintiffs’ vehicle did not arise out of the sale of the vehicle to the plaintiffs; instead, it transferred to the plaintiffs by operation of law along with title to the truck. (*Id.*) In fact, the limited powertrain warranty arose from the initial sale to the truck’s first buyer. (*Id.*)

This definition of “consumer” indicates the Legislature is aware of the distinction between warranties that arise out of a sale and those that transfer to subsequent purchasers as a result of a sale. The lack of reference to transferred warranties in the definition of “new motor

vehicle” suggests the Legislature made a deliberate choice not to include sales of used vehicles accompanied by unexpired express warranties. (*Id.*)

The *Rodriguez* court thus concluded that the phrase “other motor vehicle sold with a manufacturer’s new car warranty” unambiguously refers to cars that come with a new or full express warranty. (*Id.*) In so doing, the court held that the Act’s refund-or-replace remedy is not available to purchasers of used cars accompanied by some balance of the original warranty.

The *Rodriguez* court found additional support for its holding in *Johnson v. Nissan N. Am., Inc.* (N.D. Cal. 2017) 272 F.Supp.3d 1168, where the plaintiff sued Nissan under the manufacturer’s refund-or-replace provision after the used car she purchased suffered alleged defects. She argued she was entitled to relief because her car was still covered by Nissan’s three-year basic warranty. The court disagreed and dismissed her claim on the ground that her car was not a “new motor vehicle.” The court explained that the only way plaintiff would be entitled to the Act’s express warranty protections was if the used car seller had “extended express and implied warranties to her.” (*Id.* at p. 1179.)

This case mirrors *Rodriguez* and *Johnson*. The undisputed facts establish that Plaintiff purchased the Subject Vehicle used, from STG Auto Group, a third-party, non-authorized retailer unaffiliated with VW. (UF # 1.) VW did not sell the vehicle to Plaintiff and did not issue or extend any warranty in connection with that sale. (UF Nos. 1-2 and 4.) Any remaining warranty coverage did not arise from Plaintiff’s transaction; it merely transferred, if at all, by operation of law from the original retail sale.

Under *Rodriguez*, that transfer does not convert a used vehicle into a “new motor vehicle” within the meaning of the Song-Beverly Act. Because the Subject Vehicle was

purchased used, non-certified pre-owned, and without a new VW warranty issued in connection with Plaintiff's sale (UF Nos. 1-2 and 4), it does not qualify as "new" as a matter of law.

Plaintiff has failed to submitted any admissible evidence to raise a triable issue of material fact as to Plaintiff's Song-Beverly claims against VW.

For these reasons, Plaintiff's Song-Beverly claims against VW fail and summary adjudication is proper as to Plaintiff's first and second causes of action.

Plaintiff's Third Cause of Action for Negligent Repair:

The Economic-Loss Rule provides that "[w]here a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic' losses." (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) The doctrine hinges on a distinction between transactions involving the sale of goods that fail to meet the buyer's economic expectations, and "those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts." (*Id.*)

A buyer who has suffered only "economic loss due to disappointed expectations" is therefore generally required to seek recovery under contract law, not tort law. (*Id.*) "Economic loss" means "damages for inadequate value [received], costs of repair and replacement of the defective product or consequent loss of profits—without any claim of "personal injury or damages to other property...." (*Id.*; *Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 482.)

That basic dichotomy - requiring purely economic damages to be sought in contract and permitting recovery in tort only where the losses involve personal injury or harm to other property - dates back to the California Supreme Court's decision in a case that involved a defective vehicle covered by a warranty. (*Seely v. White Motor Co.* (1965) 63 Cal.2d 9, 14.) The

Seely Court noted that tort law had been expanding to deal with the problem of injuries caused by defective products. (*Id.* at pp. 15-16.) But the Court refused to expand it further to cover situations that involved only economic loss. Expanding tort liability was appropriate in physical injury cases because of the severe consequences to the injured party and because the risk could be insured against and then “distributed among the public [through increased prices] as a cost of doing business.” (*Id.* at pp. 18-19.) But “[t]hat rationale in no way justifies requiring the consuming public to pay more for their products so that a manufacturer can insure against the possibility” that some customers might incur a purely economic loss because its products failed to meet expectations. (*Id.* at p. 19.)

Recovery for economic loss was therefore limited to contract law. (*Seely, supra*, 63 Cal.2d at p. 19.) The U.S. Supreme Court held that where the harm is limited to economic loss, “warranty law sufficiently protects the purchaser by allowing it to obtain the benefit of its bargain.” (*East River S.S. Corp. v. Transamerica Delaval, Inc.* (1986) 476 U.S. 858, 871-875.)

Here, Plaintiff does not allege any personal injury or damage to property other than the Subject Vehicle. (UF Nos. 5-6.) Plaintiff does not dispute these facts. Plaintiff’s Prayer for Relief seeks only economic damages. In discovery, when asked to identify the nature and amount of damages sought, Plaintiff identified only economic losses – such as amounts related to the purchase contract, insurance premiums, registration fees, and related vehicle expenses. (UF # 6, Exh. C.)

There is no evidence of personal injury. There is no evidence of damage to other property. (*Id.*) Plaintiff’s alleged losses stem solely from the Subject Vehicle’s purported failure to meet her expectations. Under California law, such purely economic losses are recoverable, if at all, in contract, not in tort. Accordingly, to the extent Plaintiff asserts tort-based claims seeking

recovery for economic losses only, those claims are barred by the economic loss rule and must be dismissed as a matter of law.

Plaintiff has failed to submitted any admissible evidence show any personal injury or property damage and only argues economic loss related to the repair of the Subject Vehicle.

For these reasons, Plaintiff's negligent repair claim against Martin Motors fails and summary adjudication is proper as to Plaintiff's third causes of action.

Plaintiff's Fourth Cause of Action for California's Unfair Competition Law (UCL):

UCL prohibits "any unlawful, unfair or fraudulent business act or practice."

(*Massachusetts Mutual Life Ins. Co. v. Superior Court* (2002) 97 Cal. App. 4th 1282, 1288; Bus. & Prof. Code, § 17200.) The statute encompasses three distinct prongs - unlawful, unfair, and fraudulent conduct. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 619.)

Here, there has been no evidence produced supporting Plaintiff's UCL claim, just legal conclusions. Plaintiff has not identified any independent unlawful, unfair, or fraudulent conduct by Defendants. The absence of supporting evidence alone warrants granting summary adjudication.

The Complaint makes clear that Plaintiff's UCL claim is entirely derivative of her Song-Beverly warranty claims. (Compl. ¶¶ 31, 43 and 47.) The alleged "unlawful" conduct is nothing more than the purported breach of express and implied warranties.

Accordingly, since UCL predicated upon unlawful prong, and the Act claims fails, then so does the UCL. Therefore, ***grant*** Defendants' motion for summary judgment, or in the alternative, summary adjudication in its entirety.

Ruling

GRANT Defendants' motion for summary judgment, or in the alternative, summary adjudication in its entirety. (UF Nos. 1-6; and Evidence: Roberson Decl. and Exhs. 1A-1D; Lewis Decl. and Exh. 2A; and Peronace Decl. and Exh. 3A)

Movant to give notice.

Dated-

Judge